

(the Great Inflation) until Fed Chair Paul Volcker brought it under control in the 1980s. (I describe the inflation experience in more detail in chapter 11 where I discuss “real” assets.) There have been notable cycles around this broader up and down interest-rate trend. The Fed cut interest rates sharply after the 9/11 attacks, and the economy was in recession for most of 2001. The Fed held interest rates low for two years after these events, around 1%, and started to raise them again in 2003. Most recently, the Fed cut interest rates during the global financial crisis of 2008 and 2009, although interest rates already had begun to fall in 2007. They have remained almost zero (below 25 basis points) since, giving the Fed a *zero lower bound* problem: how do you conduct monetary policy when the policy rate cannot go any lower? This is one reason that quantitative easing and other nonconventional monetary policy programs have been introduced.⁵

Very often, long-term Treasuries move in tandem with short-term Treasuries. Figure 9.3 plots the Fed funds rate and the ten-year Treasury yield from July

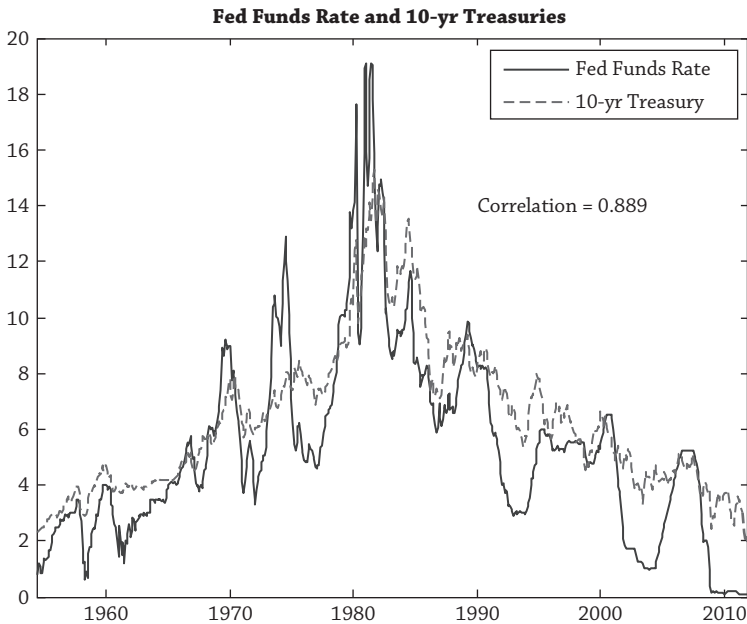


Figure 9.3

market is risk free, Standard & Poor’s opinion notwithstanding. Also, T-bills can be used as collateral, which increases T-bill prices and reduces T-bill yields, while Fed funds cannot. Finally, the T-bill market is much larger and more liquid than the Fed funds market.

⁵ Conducting monetary policy when policy rates are at zero had been well studied before the financial crisis because the problem has afflicted Japan for the past twenty plus years. It is called *zero interest-rate policy*. One of the ways to conduct monetary policy in this environment is quantitative easing, which the Fed practiced during and after the financial crisis (see, e.g., Goodfriend (2000)).